

## 24VECV04709 24VECV04709

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Tentative Ruling

Lim v. Bien Padre Foods, Case no. 24VECV04709

Hearing date July 2, 2026

Defendants'

Demurrer to the Second Amended Complaint

Plaintiff

brothers Alfonso and Albino Lim sue defendants Benito Lim and Bien Padre Foods LLC, in which plaintiffs share a minority stake. They bring four causes of action; defendants demur to the first, second and fourth causes of action; plaintiffs oppose. The court sustained defendants' demurrer to the first amended complaint with leave to amend. 12/2/25 Min. Order.

"The

function of a demurrer is to test the sufficiency of the complaint as a matter of law." Holiday Matinee, Inc. v. Rambus, Inc. (2004) 118 Cal.App.4th 1413, 1420. A complaint "is sufficient if it alleges ultimate rather than evidentiary facts," Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550, but plaintiff must allege essential facts "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. Doheny Park Terrace Homeowners Ass'n., Inc. v. Truck Ins. Exchange (2005) 132 Cal.App.4th 1076, 1099.

Defendants

demur to plaintiff's first cause of action for violation of Corp. Code §§17701.13

and 17704.10. Plaintiffs allege a right under §1704.10 to inspect and copy all records of the company required to be maintained under §17701.13. SAC para. 16. Plaintiffs allege defendants breached §§17701.13 and 17704.10 by failing to make documents available to plaintiffs. Id. at para. 17.

The

court previously sustained defendants' demurrer to this cause of action, finding plaintiffs failed to make a "reasonable request" to inspect as required by §17704.10(b)(1). 12/2/25 Min. Order. Plaintiffs allege they made such request via a 12/5/25 email to defendants' counsel, to which defendants failed to respond. SAC para. 13, exh. A.

The

SAC alleges Bien Padre "is governed by a written Operating Agreement of Bien Padre Foods, LLC, dated effective July 1, 2004 ('Operating Agreement')." SAC para. 7. Defendants argue the operating agreement sets forth the process by which a records request must be made. See Decl. Martorell, exh. A. Per section 18.1: "Any and all notices and demands shall be in writing, they shall be served either personally or by certified mail or by telegraph... Any notice or demand shall be given to the Members at the addresses set forth by them in this Agreement." Id. The operating agreement states any such request must be served on the members or Bien Padre Foods, LLC at 1459 Railroad Avenue, Eureka, CA 95501. Id. Defendants argue plaintiffs' 12/5/25 email letter to counsel is insufficient and noncompliant with the operating agreement, so is not a "reasonable request" to inspect per §17704.10(b)(1).

Plaintiffs

argue §17704.10(b)(1) requires the request to be reasonable and argues service on counsel is reasonable. This is unavailing. Defense counsel is not general counsel for Bien Padre in its capacity as an LLC. See Decl. Martorell, para. 2. Nor does defense counsel have authorization to accept service for Bien Padre outside this litigation. Id.

Counsel

retained for litigation is not a general agent of the client. *Blanton v. Womancare, Inc.* (1985) 38 Cal.3d 396, 405 (holding "[a]n attorney is not authorized, however, merely by virtue of his retention in litigation, to 'impair the client's substantial rights or the cause of action itself.'") Further, §17704.10(i) allows delivery of demand by counsel but does not require acceptance. Similarly, plaintiffs' reliance on CRC rule 1.4(a)(3)'s requirement

that counsel keep clients updated on case developments is misplaced; being retained as counsel does not turn an attorney into a valid agent for service.

#### Service

on defense counsel cannot constitute a reasonable request where defense counsel does not serve as general counsel, and where Bien Padre's operating agreement sets forth a process for making such requests, which was not followed.

SUSTAINED with 15 days leave to amend; no further leave to amend will be granted.

#### Defendants

demur to plaintiffs' second cause of action for breach of fiduciary duty. The court previously sustained the demurrer to the negligence claim on the basis that the only duty owed by a manager "is limited to refraining from engaging in grossly negligent or reckless conduct, intentional misconduct, or a knowing violation of law." 12/2/25 Min. Order. Under a breach of fiduciary duty claim, this standard remains the same as to duty. Corp. Code §§17704.09(c), (f)(1). "Gross negligence" long has been defined in California and other jurisdictions as either a 'want of even scant care' or 'an extreme departure from the ordinary standard of conduct.'" City of Santa Barbara v. Superior Court (2007) 41 Cal.4th 747, 777.

#### Plaintiffs

allege Benito "breached his fiduciary duty to Alfonso and Albino by... violating: (i) Alfonso's and Albino's right to inspect the Company's books and records as required by Operating Agreement §§10.4 and 10.5; (ii) failing to report to Alfonso and Albino regarding the Company's business operations as required by Operating Agreement §9.2.a; and (iii) failing to make quarterly distributions." SAC para. 22. Plaintiffs argue the duty owed by the manager of an LLC is "the same duties of loyalty and good faith as a partner owes to the partnership and its partners... thus [the manager] is obligated to act with the utmost loyalty and in the highest good faith..." Feresi v. The Livery, LLC (2014) 232 Cal.App.4th 419, 425.

#### Plaintiffs'

arguments that dicta in Feresi, supra, expands obligations owed under §17704.09 is mistaken. Feresi cites to §17704.09 in its ruling. Section 17704.09(f) states: "In a manager-managed limited liability company, all of the following rules apply: (1) Subdivisions (a), (b), (c), and (e) apply to the manager or managers and not the members." Section §17704.09(c) states the

duty of care owed by a manager or member of an LLC is “limited to refraining from engaging in grossly negligent or reckless conduct, intentional misconduct, or a knowing violation of law.” To state a claim for breach of fiduciary duty, plaintiffs must allege facts showing either gross negligence or intentional misconduct.

Plaintiffs

allege Benito impeded their right to inspect company records. SAC para. 22. This is unavailing; as above, plaintiffs failed to make a reasonable request pursuant to Bien Padre's operating agreement and §17704.10.

Plaintiffs

next allege Benito failed to make reports to plaintiffs as required by section 9.2.a of the operating agreement. No specific obligation exists in the operating agreement, which simply states “[t]he day-to-day activity of the LLC shall be managed by the Manager who shall be responsible for . . . accounting and reporting to Members.” Decl. Martorell, exh. A, para. 9.2.a. Further, plaintiffs do not allege when or how these alleged breaches of a duty to report occurred.

Plaintiffs

finally allege Benito failed to make quarterly distributions as required by section 8.1 of the operating agreement. However, plaintiffs fail to allege the threshold fact of whether net cashflow existed such that distributions were required under section 8.1. See Decl. Martorell, exh. A, para. 8.1. SUSTAINED with 15 days leave to amend. No further leave to amend will be granted.

Defendants

demur to the fourth cause of action for breach of fiduciary duty against Benito, brought derivatively on behalf of Bien Padre. Plaintiffs allege Benito breached his duty of loyalty by “failing to account and hold as trustee any property, profit, or benefit derived by Benito in his conduct of the activities of the Company or derived from a use by Benito of Company property, and failing to use updated and functioning accounting software and ensure that all material documents and records of the Company were preserved.” SAC para. 34. Plaintiffs allege Benito acted with gross negligence by failing to use updated accounting software. SAC paras. 31, 33.

The

duty of care owed by Benito to Bien Padre is the same as analyzed above. Section 17704.09 establishes a member's duty of loyalty to an LLC, and therefore a manager's duty of loyalty, is: "To account to the limited liability company and hold as trustee for it any property, profit, or benefit derived by the member in the conduct and winding up of the activities... to refrain... from having an interest adverse to the [LLC]... [and] to refrain from competing with the [LLC]." Corp. Code §17704.09(b).

#### Plaintiffs

fail to offer specific factual allegations that Benito failed to hold any property, profit or benefit derived. Conclusory allegations are unavailing. Similarly, plaintiffs fail to offer allegations as to how the alleged use of "Quickbooks" accounting software (SAC para. 12) constitutes gross negligence. It is insufficient to merely label a business decision as grossly negligent; plaintiffs must offer allegations showing "want of even scant care" or "an extreme departure from the ordinary standard of conduct." City of Santa Barbara, supra, at 777. SUSTAINED with 15 days leave to amend. No further leave to amend will be granted.